

Safeguards, Anti-dumping and Countervailing Act, 2019

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Chapter 1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Safeguards, Anti-Dumping and Countervailing Act, 2076."

(2) This Act shall come into force on the ninety-first day from the date of its certification. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Investigating Officer" means the Investigating Officer pursuant to Section 17.

(b) "Goods under Investigation" means goods for which the investigation process has been initiated pursuant to Chapter 5.

(c) "Import" means the act of bringing goods into Nepal from a foreign country for commercial or other purposes.

(d) "Importer" means a person, firm or body corporate importing goods into Nepal from a foreign country for commercial purposes.

(e) "Anti-Dumping Duty" means a duty imposed on goods imported from a foreign country pursuant to Section 9.

(f) "Countervailing Duty" means a duty imposed on goods imported from a foreign country pursuant to Section 14.

(g) "Serious Injury" means injury determined on the basis provided for in Section 27 that has been caused or may be caused to a domestic industry due to the import of any goods in an unexpectedly and abnormally large quantity or due to the import of subsidized goods.

(h) "Dumping" means the import of any goods made in contravention of Section 8.

(i) "Dumping Margin" means the difference between the normal value determined pursuant to Section 28 and the export price determined pursuant to Section 29.

(j) "Third Country" means a country or independent customs territory other than the country that exported the goods under investigation to Nepal.

(k) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.

(l) "Export" means the act of an exporter sending goods into Nepal from any foreign country for commercial purposes.

(m) "Exporter" means a person, firm or body corporate exporting goods to Nepal from a foreign country or autonomous customs territory.

(n) "Export Price" means the price of goods determined pursuant to Section 29.

(o) "Directly Competitive Goods" means goods that, even if not like or similar goods, are directly competitive in the market with the goods under investigation or are alternative goods that consumers may use or choose instead of such goods.

(p) "Customs Office" means a customs office established by the Government of Nepal by publishing a notice in the Nepal Gazette, a customs office established by the Director General of the Department of Customs in any customs area during a disaster, and also refers to any other area specified by the Government of Nepal by publishing a notice in the Nepal Gazette.

(q) "Ministry" means the Ministry of Industry, Commerce and Supplies.

(r) "Similar Goods" means goods which, although not alike in all respects, have similar constituent materials and similar characteristics, thereby enabling them to perform the same functions and be commercially interchangeable.

(s) "Department" means the Department specified by the Ministry by publishing a notice in the Nepal Gazette.

(t) "Identical Goods" means goods that are the same in all respects including composition, quality, nature and characteristics.

(u) "Committee" means the Committee pursuant to Section 33.

(v) "Interested Party" means the following parties:

(1) The producer, exporter or importer of the concerned goods or their representative,

(2) The government of the exporter's country or autonomous customs territory,

(3) The domestic industry,

(4) The domestic producer of like, similar or directly competitive goods, an association of such a producer, or a representative of such producer or association,

(5) Other related parties deemed necessary by the Investigating Officer.

(w) "Subsidized Goods" means goods which are subsidized or directly or indirectly granted subsidies pursuant to Section 30.

(x) "Subsidy Margin" means the difference in price of any goods caused or likely to be caused due to the subsidy provided on such goods.

(y) "Normal Value" means the normal value determined pursuant to Section 28 of the goods under investigation.

(z) "Safeguards Measure" means a safeguards measure imposed pursuant to Chapter 2.

(aa) "Autonomous Customs Territory" means a separate customs territory that is a member of the World Trade Organization.

(ab) "Domestic Industry" means, for the purpose of imposing safeguards measures, anti-dumping duty or countervailing duty under this Act, the domestic industry producing like, similar or directly competitive goods that are under investigation, and the term also refers to the collective body or entity producing such goods.

Provided that the term shall not refer to a domestic producer who is also an importer of such goods.

(ac) "Injury" means material injury caused or likely to be caused to the domestic industry due to the import of like, similar or subsidized goods, and the term also refers to a situation where the establishment of an industry is hindered due to such import. Chapter 2

Provisions Relating to Safeguards

3. Authority to Impose Safeguards Measure: (1) If the domestic industry producing goods that are like, similar or directly competitive to any goods has suffered serious injury or there is sufficient ground to believe that such injury may occur due to an unexpected and abnormal increase in the import of such goods in large quantities, the Ministry may cause an investigation to be conducted through the Department.

(2) If the situation under Sub-section (1) exists, a domestic industry producing like or similar goods may submit an application to the Ministry to impose necessary safeguards measures on such goods.

(3) If, upon investigation pursuant to Sub-section (1), it appears that the domestic industry has suffered or may suffer serious injury from the import of such goods, the Government of Nepal may impose the following safeguards measures:

- (a) Levying an additional customs duty in addition to the customs duty leviable under the prevailing law,
- (b) Levying an additional duty based on an additional tariff rate quota on imports exceeding the quantity determined by the Government of Nepal,
- (c) Imposing a full or partial quantitative restriction on the import of such goods,
- (d) Other measures as prescribed.

(4) Notwithstanding anything contained in Sub-section (3), no safeguards measure shall be imposed on goods imported from a developing country where the import volume from that country is less than three percent of the total import of like, similar or directly competitive goods. Provided that, if the volume of goods imported from more than one developing country, each with a share of less than three percent of total imports, collectively exceeds nine percent of the total import of like, similar or directly competitive goods produced domestically, safeguards measures may also be imposed on goods imported from any such developing country whose individual share is less than three percent.

(5) When imposing a safeguards measure, the same or different rates of duty or quantitative duty rates may be imposed on like, similar or directly competitive goods.

(6) Other provisions relating to the procedure for imposing safeguards measures under this Section shall be as prescribed. 4.

Duration of Safeguards Measure: (1) The duration of a safeguards measure imposed pursuant to Section 3 shall remain in effect for a maximum of four years from the date of imposition of such measure. (2) Notwithstanding anything contained in Sub-section (1), if the Investigating Officer recommends that the condition warranting the safeguards measure under Section 3 continues to exist after that period, the Government of Nepal may extend the period for imposing the safeguards measure for a maximum of four years. (3) When calculating the period under Sub-section (1), if an interim safeguards measure was imposed pursuant to Section 6, that period shall also be included in the calculation. (4) Notwithstanding anything contained in Sub-section (1), if the Government of Nepal deems necessary, the period of a safeguards measure imposed under Section 3 may be extended for a maximum of two years in addition to the period

under Sub-sections (1) and (2). Provided that no additional safeguards measures shall be imposed during such extended period. 5. Removal of Safeguards Measures: The Government of Nepal may remove a safeguards measure imposed under Section 3 in any of the following circumstances: (a) If a review conducted under Section 43 shows that imposing the safeguards measure on such goods is not necessary, (b) If other alternative measures are adopted under Section 7, (c) In other circumstances as prescribed. 6. Authority to Impose Interim Safeguards Measure: (1) If serious injury has been caused or there is an apprehension of serious injury to the domestic industry due to an unexpected and abnormal increase in the import of any goods in large quantities, and it is deemed necessary to take immediate action, the Government of Nepal may impose an interim safeguards measure on such goods. (2) When the Government of Nepal imposes an interim safeguards measure under Sub-section (1), it may impose any safeguards measure under Sub-section (3) of Section 3. (3) Notwithstanding anything contained in Sub-section (1), before imposing an interim safeguards measure in respect of any goods, one of the following conditions must exist: (a) The preliminary report under Section 25 indicates that a safeguards measure needs to be imposed immediately, (b) The evidence immediately available from the investigation provides sufficient ground that the domestic industry has suffered or may suffer serious injury due to the import of any goods. (4) The duration of an interim safeguards measure imposed under this Section shall not exceed two hundred days. 7.

Alternative Measures May Be Adopted: (1) Notwithstanding anything contained elsewhere in this Chapter, the Government of Nepal may, by negotiating with the government of the country or autonomous customs territory producing or exporting any goods imported in an unexpectedly and abnormally large quantity, adopt other alternative measures to protect the domestic industry from serious injury that is occurring or may occur. (2) Provisions relating to the alternative measures referred to in Sub-section (1) shall be as determined by the Government of Nepal. Chapter 3 Provisions Relating to Anti-Dumping Duty 8. Goods Not to Be Dumped: No importer shall dump any goods by importing them at an export price lower than the normal value of the producer's or exporter's country or autonomous customs territory in a manner that causes or may cause injury or serious injury to a domestic industry producing like or similar goods. 9. Authority to Impose Anti-Dumping Duty: (1) If it appears from the report submitted by the Investigating Officer pursuant to Section 26 that any person has dumped goods in contravention of Section 8, the Government of Nepal may impose an anti-dumping duty, in addition to the customs duty, on such goods. (2) Notwithstanding anything contained in Sub-section (1), no anti-dumping duty shall be imposed on goods imported from any country or autonomous customs territory where the dumping margin of the dumped goods is less than two percent, and where the share of imports from such country or territory is up to three percent of the total import of like or similar goods. Provided that, if the share of goods imported from more than one country or autonomous customs territory exceeds seven percent of the total import of goods of a like or similar nature, an anti-dumping duty may also be imposed on goods imported from any such country or autonomous customs territory whose individual share is less than three percent. (3) Before imposing an anti-dumping duty under Sub-section (1), there must be clear sufficient ground and evidence showing that the domestic industry has suffered or may suffer injury or serious injury due to the dumping of such goods. (4) The determination of the rate of anti-dumping duty shall be as prescribed by the Government of Nepal based, inter alia, on the investigation report pursuant to Section 26. (5) When imposing an anti-dumping duty, different rates of duty may be imposed depending on the nature of the imported goods. 10.

Duration of Anti-Dumping Duty: (1) An anti-dumping duty imposed under Section 9 shall remain in effect for a maximum of five years from the date on which such duty was first imposed. (2) Notwithstanding anything contained in Sub-section (1), if the Investigating Officer recommends that the condition warranting the anti-dumping duty under Section 9 continues to exist after that period, the Government of Nepal may extend

the period for imposing the anti-dumping duty for a maximum of five years. 11. Authority to Impose Interim Anti-Dumping Duty: (1) The Government of Nepal may impose an interim anti-dumping duty on any goods under the following circumstances: (a) A notice of initiation of an investigation in respect of any goods has been published pursuant to Section 20, (b) Evidence immediately available indicates that such goods are being dumped, (c) There is sufficient ground to believe that the import of such goods has caused or may cause injury or serious injury to the domestic industry, (d) At least sixty days have elapsed since the Investigating Officer initiated the investigation process, (e) The preliminary report under Section 25 recommends the imposition of an interim anti-dumping duty, (f) It is deemed necessary to impose an interim anti-dumping duty immediately to prevent injury or potential injury to the domestic industry. (2) An interim anti-dumping duty imposed under Sub-section (1) shall be for a maximum of six months if the domestic industry producing like or similar goods has so requested, and for a maximum of one hundred and twenty days in other cases. 12. Removal of Anti-Dumping Duty: If it appears from the report submitted by the Investigating Officer under Section 22 or any other basis that there is no longer a need to maintain the anti-dumping duty imposed under Section 9, the Government of Nepal may remove such duty at any time. Chapter 4 Provisions Relating to Countervailing Duty 13. Subsidized or Directly or Indirectly Subsidized Goods Not to Be Imported: No importer shall import any subsidized or directly or indirectly subsidized goods in a manner that causes or may cause injury or serious injury to a domestic industry. 14.

Authority to Impose Countervailing Duty: (1) If any person imports any subsidized or directly or indirectly subsidized goods in contravention of Section 13, the Government of Nepal may, based on the report obtained pursuant to Section 26, impose a countervailing duty, in addition to the customs duty, on such goods. (2) Notwithstanding anything contained in Sub-section (1), a countervailing duty shall not be imposed on any goods in the following circumstances: (a) In the case of goods imported from a developing country, where the subsidy or direct or indirect subsidy provided is less than two percent of the export price, and in the case of other countries or autonomous customs territories, less than one percent, (b) Where the volume of subsidized or directly or indirectly subsidized goods imported from a single developing country is found to be less than four percent of the total volume of imports of goods of a like or similar nature in Nepal, (c) Goods received by the Government of Nepal in the form of in-kind or cash grants under bilateral or multilateral agreements. (3) Notwithstanding anything contained in Clause (b) of Sub-section (2), if the volume of subsidized or directly or indirectly subsidized goods imported from developing countries, each with a share of less than four percent of total imports, collectively amounts to nine percent or more of the total volume of imports of goods of a like or similar nature in Nepal, a countervailing duty may also be imposed on subsidized goods imported from any such developing country whose individual share is less than four percent. (4) Before imposing a countervailing duty under Sub-section (1), there must be clear sufficient ground and evidence showing that such imported goods are subsidized or directly or indirectly subsidized goods, and that the domestic industry has suffered or may suffer injury or serious injury due to the import of such goods. (5) A countervailing duty imposed under Sub-section (1) must not exceed the subsidy margin. (6) When imposing a countervailing duty under Sub-section (1), different rates may be imposed on imported goods of the same nature with different subsidy margins or different types of subsidies or direct or indirect subsidies. 15.

Duration of Countervailing Duty: (1) A countervailing duty shall be imposed for a maximum period of five years. (2) Notwithstanding anything contained in Sub-section (1), if the Investigating Officer recommends that the condition warranting the countervailing duty under Section 14 continues to exist after that period, the Government of Nepal may extend the period for imposing the countervailing duty for a maximum of five years. 16. Authority to Impose Interim Countervailing Duty: (1) The Government of Nepal may impose an interim countervailing duty on any goods under investigation under the following circumstances: (a) A notice

of initiation of an investigation has been published pursuant to Section 20, (b) Based on evidence immediately available, such goods are found to be subsidized or directly or indirectly subsidized goods, (c) There is an apprehension that the import of such goods has caused or may cause injury or serious injury to the domestic industry, and it is deemed necessary to impose an interim countervailing duty immediately to prevent such injury, (d) At least sixty days have elapsed since the Investigating Officer initiated the investigation process, (e) The preliminary report obtained under Section 25 recommends the imposition of an interim countervailing duty. (2) An interim countervailing duty imposed under Sub-section (1) must not exceed the subsidy margin. (3) An interim countervailing duty under Sub-section (1) shall be imposed for a maximum of one hundred and twenty days only from the date of submission of the report under Section 25. Chapter 5 Provisions Relating to Investigation 17. Investigating Officer: (1) Unless otherwise specified by the Government of Nepal, for the purpose of investigating complaints relating to safeguards, anti-dumping or countervailing under this Act, the Department shall act as the Investigating Officer. (2) For the purpose of Sub-section (1), the Department may designate an officer, at least of the rank of a Gazetted Second Class Officer, to work as an Investigating Officer. 18.

Authority to Submit Application: (1) If it is found that any person has imported goods at an export price lower than the normal value of the producer's or exporter's country or autonomous customs territory, or has imported subsidized or directly or indirectly subsidized goods, in a manner that causes or may cause injury or serious injury to a domestic industry producing like or similar goods, the domestic industry producing such goods, either by itself or through its representative, may submit an application to the Department in the prescribed format for imposing an anti-dumping duty under Section 9 or a countervailing duty under Section 14 on such imported goods. (2) When submitting an application under Sub-section (1), the applicant must attach available evidence relating to the goods imported or intended to be imported and the injury, serious injury or threat of serious injury caused to the domestic industry thereby. (3) When submitting an application under Sub-section (1), the following procedure must be completed: (a) The complaint must be filed by the domestic industry or industries producing at least twenty-five percent of the like or similar goods, (b) The application must be supported by the domestic industry or industries producing at least fifty percent of the like or similar goods, (c) The evidence immediately available must provide a basis for substantiating the contentions of the application. 19. Inquiry into Application Required: (1) Upon receipt of an application under Section 18, the Investigating Officer shall conduct necessary inquiries into whether the procedure under Sub-section (3) of that Section has been completed. (2) If, during the inquiry under Sub-section (1), the evidence submitted with the application does not provide a basis for substantiating the contentions of the application, the Investigating Officer shall not proceed with action on such application. (3) Notwithstanding anything contained elsewhere in this Section, if information is received that any goods are being or are about to be dumped contrary to Section 8 or that any person is about to export goods obtained through subsidies or direct or indirect subsidies contrary to Section 13, or if there is a reasonable cause to believe such matters, and there is sufficient ground that such import may cause or may be likely to cause injury or serious injury to the domestic industry, the Department may initiate the investigation process by preparing a file incorporating necessary evidence related thereto. (4) When conducting an inquiry under this Section or an investigation under Section 23, the concerned interested body shall provide the necessary details and documents to the Investigating Officer. 20.

Publication of Notice of Investigation Required: (1) If, upon examining the application under Section 19, the Investigating Officer deems it necessary to initiate the investigation process under Section 23 against such application, a notice to this effect shall be published through a national level newspaper. (2) The notice published under Sub-section (1) shall include the name, nature, and characteristics of the goods under

investigation, the name of the producing company, the name of the country of the producer or exporter, the evidence documents submitted by the complainant, and other necessary details. (3) The Investigating Officer shall send a copy of the notice published under Sub-section (1), along with a copy of the related application and other relevant evidence, to the producer or exporter of the goods under investigation through electronic means. 21. Right to Object: (1) An interested party may file a written objection with the Investigating Officer in respect of such application within fifteen days from the date of publication of the notice under Sub-section (1) of Section 20. (2) When an interested party files an objection under Sub-section (1), they must attach evidence and documents to substantiate the claims made in such objection. (3) In the course of the investigation, any other party wishing to object to the evidence and documents submitted by any party may file an objection within fifteen days of the submission of such evidence or documents. 22. Burden of Proof: When filing an objection under Section 21, if the importer or exporter claims, among other things, that the goods under investigation were not imported into the country, that no goods were dumped, or that the imported goods are not subsidized goods, the burden of proof regarding such claims shall be on the interested party making the claim. 23.

Investigation Required: (1) After the notice is published under Section 20, the Investigating Officer shall initiate the investigation process, focusing on the following matters: (a) The claims made in the complaint and the evidence documents submitted by the relevant parties, (b) Whether the complainant is a domestic industry producing like or similar goods, (c) Whether such goods are dumped goods and, if found to be so, the status of the dumping margin, (d) Whether such goods are subsidized or directly or indirectly subsidized goods and, if found to be so, the status or quantum of the subsidy margin or subsidy, (e) Whether the import of such goods has caused or is likely to cause injury or serious injury to the domestic industry and, if so, the nature and extent of such injury, (f) Other matters deemed necessary for the investigation. (2) While conducting the investigation, the Investigating Officer shall objectively evaluate and analyze all evidence and documents related to the matters referred to in Sub-section (1). 24. Authority to Seek Consultation: (1) When conducting an investigation under Section 23, the Investigating Officer may seek necessary consultation or information from the relevant body of the government of the exporter's country or autonomous customs territory regarding whether or not a subsidy has been provided in relation to the production or export of such goods. (2) If any consultation or information is obtained from such body in response to a request under Sub-section (1), it may be taken as a basis; if no consultation or information is received within the requested period, it may be deemed that consultation on the matter has been held, and necessary action may be proceeded with. 25.

Preparation of Preliminary Report Required: The Investigating Officer shall, within sixty days of the initiation of the investigation under Section 23, prepare a preliminary report containing the following details and submit it to the Department: (a) Name, quantity, and price of the goods, and the Harmonized Code of the goods, (b) The exporter of such goods and the country or autonomous customs territory of the exporter, (c) Whether the import of such goods has increased unexpectedly and abnormally in large quantities, (d) If the import of such goods has increased unexpectedly and abnormally in large quantities, the quantity thereof, (e) Whether such goods are subsidized or directly or indirectly subsidized goods and, if so, the quantity thereof, (f) Whether such goods have caused or are likely to cause injury or serious injury to the domestic industry producing like or similar goods, (g) Whether it is necessary to impose an interim safeguards measure under Section 6, an interim anti-dumping duty under Section 11, or an interim countervailing duty under Section 16 on such goods and, if imposition is necessary, for what period and at what rate such duty appears reasonable, along with the basis and reasons, (h) Except for Clause (g), a definite opinion stating whether a safeguards measure, an anti-dumping duty, or a countervailing duty under this Act should be imposed, and at what rate and for what

period, along with the basis and reasons, (i) Other matters as prescribed. 26.

Preparation of Final Report Required: (1) The Investigating Officer shall generally complete the investigation and submit a final report thereof to the Department within one year from the date of initiation of the investigation. (2) Based on the report received under Sub-section (1), the Department shall submit it to the Ministry, along with the report, for the purpose of imposing a safeguards measure, anti-dumping duty, or countervailing duty. (3) The final report prepared under Sub-section (1) shall include the following: (a) Actual details of the injury or serious injury caused or likely to be caused to the domestic industry due to the import of the goods under investigation, (b) The normal value and export price of the goods under investigation, (c) The dumping margin or subsidy or subsidy margin of the goods under investigation, (d) The concrete suggestion of the Investigating Officer on whether or not an anti-dumping duty or countervailing duty should be imposed on such goods, (e) If an anti-dumping duty or countervailing duty needs to be imposed on such goods, the basis thereof and the rate of duty, (f) If it appears necessary to impose the anti-dumping duty or countervailing duty under Clause (d) with retroactive effect, the basis, reason, and effective date for such imposition, (g) If the period of the imposed anti-dumping duty or countervailing duty needs to be extended, the recommendation stating the basis and reason for such extension, (h) Other matters deemed necessary by the Investigating Officer. (4) If the investigation cannot be completed within one year under Sub-section (1), the Investigating Officer may recommend to the Ministry to extend the investigation period, stating the clear reason thereof. (5) If, upon examining the recommendation received under Sub-section (4), such recommendation appears reasonable, the Ministry may extend the investigation period for a maximum of six months. 27.

Determination of Serious Injury: For the purpose of imposing a safeguards measure under Section 3, when investigating whether the domestic industry producing like, similar or directly competitive goods has suffered or may suffer serious injury due to the import of the goods under investigation, the Investigating Officer shall determine such injury based on the following: (a) The volume and price of the increase in imports of the goods under investigation, (b) The market share of the goods under investigation, (c) The impact on the production and productivity of the domestic industry producing like, similar or directly competitive goods, (d) The impact on the sale and distribution of the domestic goods that are like, similar or directly competitive, (e) The impact on the consumption of like, similar or directly competitive goods, (f) The nature, extent, and volume of the injury caused to the domestic production of like, similar or directly competitive goods, (g) The impact on employment provided by the domestic industry producing like, similar or directly competitive goods. 28.

Determination of Normal Value of Goods: For the purpose of imposing an anti-dumping duty under Section 9, the Investigating Officer shall determine the normal value of the goods under investigation based on the following: (a) The selling price of such goods in the domestic market of the country or autonomous customs territory of the manufacturer, producer or exporter of the imported goods, (b) If the goods are not sold in the domestic market of the country or autonomous customs territory of the manufacturer, producer or exporter of the imported goods, or if the selling price of such goods cannot be determined for any other reason, the export price of such goods when exported to a third country, (c) If the price cannot be determined based on Clause (a) or (b), the cost price of such goods plus a reasonable amount of profit, administrative, selling and general expenses, (d) If the price cannot be determined based on Clause (c) either, the price determined by the Investigating Officer on a reasonable basis. 29.

Determination of Export Price: For the purpose of imposing an anti-dumping duty under Section 9, the export price of the goods under investigation shall be determined based on the following: (a) The invoice price submitted at the customs point for the exported goods (excluding freight, insurance and other expenses) or, if

such goods are also exported to other countries, the price paid by the first buyer in that country to the exporter, (b) If the price cannot be determined based on Clause (a), or if despite the price being determined, it appears unreliable due to an association between the exporter and the importer or for any other reason, the price at which the exported like or similar goods are first resold to an independent buyer, (c) If the price cannot be determined based on Clause (a) or (b), the price determined by the Investigating Officer on a reasonable basis. 30. Goods Considered to Have Received Subsidy or Grant: (1) For the purpose of imposing a countervailing duty under Section 14, if the goods under investigation are found to have received, directly or indirectly, the following assistance from the government of the exporting country or autonomous customs territory, or from any institution or body with full or partial financial or other assistance from such government, such goods shall be considered subsidized goods: (a) Direct or indirect financial incentive, concession, exemption or assistance in the production or export of goods, (b) Direct transfer or potential direct transfer of grants, loans, equity investment or capital for the production or export of goods, (c) Assumption of existing or potential liabilities of the producer of such goods, or regular purchase of such goods, (d) Exemption or waiver of outstanding taxes or revenues of the industry producing such goods, (e) Receipt of goods, facilities, or services, other than basic infrastructure facilities, for the production of goods. (2) Notwithstanding anything contained in Sub-section (1), goods for which the government of the exporter's country or autonomous customs territory provides the following subsidies shall not be considered subsidized goods: (a) Subsidies provided for research activities conducted by or on behalf of the manufacturer, producer or exporter of such goods, (b) Subsidies targeted at remote or backward regions of its country, (c) Subsidies limited to adapting existing facilities relating to production, manufacturing or export technology or processes to new environmental requirements or regulations. 31. Confidentiality to be Maintained: Except for the purpose of Section 20 and the prevailing law, the Investigating Officer shall keep confidential the documents, information, knowledge, details, or commercial information received by or coming to his/her knowledge in the course of the investigation conducted under this Chapter.

Provided that there shall be no bar to providing such documents, information, knowledge or details to an authorized officer in accordance with an order of a court or in the course of law enforcement under the prevailing law. 32. Suspension or Termination of Investigation: Notwithstanding anything contained elsewhere in this Act, the Investigating Officer may, at any time, suspend or terminate the proceedings relating to the investigation initiated under this Chapter under the following circumstances: (a) If the Ministry directs the suspension or termination of the investigation in respect of such goods stating that the exporter of the goods under investigation or the government of the exporter's country or autonomous customs territory has agreed not to export at a price lower than the normal value or cost price, or not to export subsidized goods, (b) If the Ministry directs the suspension or termination of the investigation in respect of such goods stating that the exporter of the goods under investigation or the government of the exporter's country or autonomous customs territory has agreed to revise the price to eliminate the effect of the injury or serious injury caused or likely to be caused to the domestic industry producing like, similar or directly competitive goods, (c) If an agreement is reached with the government or the exporter's country to bear, directly or indirectly, the compensation for the injury caused or likely to be caused to the domestic industry producing like, similar or directly competitive goods due to the import of the goods under investigation, (d) If there are objective grounds confirming that the maximum quantity of the goods under investigation is being used as raw material by the domestic industry producing like, similar or directly competitive exportable goods, (e) In other prescribed circumstances. Chapter 6 Provisions Relating to Coordination Committee 33.

Formation of Committee: (1) A Coordination Committee shall be formed in the Ministry to coordinate between the concerned bodies for the implementation of this Act or the rules made under this Act. (2) The formation of

the Committee under Sub-section (1) shall be as follows: (a) Secretary, Ministry - Chairperson (b) Joint Secretary, Ministry of Finance - Member (c) Joint Secretary, Ministry of Law, Justice and Parliamentary Affairs - Member (d) Joint Secretary, Ministry - Member (e) Director General, Department of Customs - Member (f) President, Federation of Nepalese Chambers of Commerce and Industry - Member (g) President, Confederation of Nepalese Industries - Member (h) President, Nepal Chamber of Commerce - Member (i) Director General, Department - Member Secretary 34. Functions, Duties and Powers of the Committee: The functions, duties and powers of the Committee shall be as follows: (a) To advise the Government of Nepal on the policies to be adopted for the promotion of fair trade practices and the protection of domestic industry, (b) To study and recommend to the Ministry if a review of this Act or the rules made under this Act appears necessary, (c) To maintain coordination among the concerned bodies for the implementation of this Act or the rules made under this Act, (d) To review the report received under Sub-section (2) of Section 26 and its implementation, (e) To form sub-committees as necessary in relation to its work, (f) To perform other functions as prescribed. 35. Meeting of Committee: (1) Meetings of the Committee shall be held as necessary. (2) The meeting of the Committee shall be held on the date, time and place specified by the Chairperson. (3) The presence of a majority of the total number of members of the Committee shall be deemed to constitute a quorum for a meeting of the Committee. (4) The meeting of the Committee shall be chaired by the Chairperson. (5) The opinion of the majority shall prevail in the meeting of the Committee, and in the event of a tie, the person chairing the meeting shall cast the deciding vote. (6) If deemed necessary by the Chairperson, an expert or employee related to the subject may be invited to the meeting of the Committee. (7) The decision of the Committee shall be authenticated by the Member Secretary of the Committee. (8) Other procedures relating to the meeting

Chapter-1

Preliminary

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(2) It shall come into force on the ninety-first day from the date of certification. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

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(d) "Importer" means a person, institution or body importing goods into Nepal from a foreign country for commercial purposes.

(e) "Anti-Dumping Duty" means the duty imposed pursuant to Section 9 on goods imported from a foreign country.

(f) "Countervailing Duty" means the duty imposed pursuant to Section 14 on goods imported from a foreign country.

(g) "Serious Injury" means the loss or injury determined on the basis of Section 27, caused or likely to be caused to domestic industry due to the import of any goods in unexpectedly and abnormally large quantity or

due to the import of subsidized goods.

(h) "Dumping" means the import of any goods made contrary to Section 8.

(i) "Dumping Margin" means the difference between the normal value determined pursuant to Section 28 and the export price determined pursuant to Section 29.

(j) "Third Country" means a country or independent customs territory other than the country that exported the goods under investigation to Nepal.

(k) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.

(l) "Export" means the act of sending goods into Nepal by an exporter from a foreign country for commercial purposes.

(m) "Exporter" means a person, institution or body exporting goods to Nepal from a foreign country or autonomous customs territory.

(n) "Export Price" means the price of goods determined pursuant to Section 29.

(o) "Directly Competitive Goods" means, even if not like or similar goods, another goods that are directly competitive in the market with, or can be used or chosen by consumers as an alternative to, the goods under investigation.

(p) "Customs Office" means the Customs Office established by the Government of Nepal by publishing a notice in the Nepal Gazette, the Customs Office established by the Director General of the Customs Department in any customs area in case of disaster, and also includes other areas designated by the Government of Nepal by publishing a notice in the Nepal Gazette.

(q) "Ministry" means the Ministry of Industry, Commerce and Supplies.

(r) "Like Goods" means goods which, although not alike in all respects, have like characteristics and component of like constituent materials enabling them to perform the same functions and be commercially interchangeable.

(s) "Department" means the Department designated by the Ministry by publishing a notice in the Nepal Gazette.

(t) "Identical Goods" means goods which are alike in all respects, including their composition, quality, nature and characteristics.

(u) "Committee" means the Committee pursuant to Section 33.

(v) "Interested Party" means the following parties:-

(1) Producer, exporter or importer of the concerned goods or their representative,

(2) Government of the exporter's country or autonomous customs territory,

(3) Domestic industry,

(4) Domestic producer manufacturing like or identical goods or directly competitive goods, association of such producer, or representative of such producer or association,

(5) Other related parties deemed necessary by the Investigation Officer.

(w) "Subsidized Goods" means goods that are subsidized pursuant to Section 30 or goods that are directly or indirectly granted subsidies.

(x) "Subsidy Margin" means the difference in price caused or likely to be caused to the price of any goods due to the subsidy provided to such goods.

(y) "Normal Value" means the normal value of the goods under investigation determined pursuant to Section 28.

(z) "Safeguards Measure" means the Safeguards measure imposed pursuant to Chapter-2.

(aa) "Autonomous Customs Territory" means the autonomous customs territory (Separate Customs Territory) that is a member of the World Trade Organization.

(bb) "Domestic Industry" means the domestic industry manufacturing the like or identical goods or directly competitive goods that are the subject of investigation for the purpose of imposing Safeguards measures, Anti-Dumping duty or Countervailing duty under this Act, and the term also includes the collective association or body manufacturing such goods.

Provided that the term shall not include a domestic producer who is also an importer of such goods.

(cc) "Injury" means material injury caused or likely to be caused to domestic industry due to the import of like or identical or subsidized goods, and the term also includes the situation where the establishment of any industry is hindered due to such import. Chapter-2

Provisions Relating to Safeguards

3. Power to Impose Safeguards Measures: (1) If domestic industry manufacturing like or identical or directly competitive goods suffers serious injury or there appears sufficient ground that such injury may be caused due to an unexpected and abnormally large increase in the import of any goods, the Ministry may cause an investigation to be conducted through the Department.

(2) If the situation pursuant to sub-section (1) exists, the domestic industry manufacturing like or identical goods may submit an application to the Ministry to impose necessary Safeguards measures on such goods.

(3) If it appears from the investigation pursuant to sub-section (1) that the import of such goods has caused or may cause serious injury to the domestic industry, the Government of Nepal may impose Safeguards measures as follows:-

(a) Impose an additional customs duty to the customs leviable under the prevailing law,

(b) Impose additional duty based on an additional tariff rate quota on the import of quantity exceeding the quantity determined by the Government of Nepal under clause (a),

(c) Impose a full or partial quantitative restriction on the import of such goods,

(d) Other measures as prescribed.

(4) Notwithstanding anything contained in sub-section (3), Safeguards measures shall not be imposed on goods imported from a developing country in a quantity less than three percent of the total import of like or identical goods or directly competitive goods. Provided that if the quantity of goods imported from more than one developing country, each having a share of less than three percent of the total import, exceeds nine percent of the total import of like or identical goods or directly competitive goods produced domestically,

Safeguards measures may also be imposed on such goods imported from any developing country having a share of less than three percent.

(5) While imposing Safeguards measures, equal or different duty rates or quantitative duty rates may be imposed on like or identical goods or directly competitive goods.

(6) Other provisions relating to the procedure for imposing Safeguards measures under this section shall be as prescribed. 4.

Duration of Safeguards: (1) The duration of Safeguards measures imposed pursuant to Section 3 shall remain in force for a maximum of four years from the date of imposition of such Safeguards. (2) Notwithstanding anything contained in sub-section (1), if the Investigation Officer recommends that the conditions warranting the imposition of Safeguards duty pursuant to Section 3 continue to exist after that period, the Government of Nepal may extend the period for imposing Safeguards duty for a maximum of four years. (3) While calculating the period pursuant to sub-section (1), if an interim Safeguards measure has been imposed pursuant to Section 6, that period shall also be added and calculated. (4) Notwithstanding anything contained in sub-section (1), if the Government of Nepal deems necessary, the duration of Safeguards measures imposed pursuant to Section 3 may be extended for a maximum of two years in addition to the periods under sub-sections (1) and (2). Provided that additional Safeguards measures shall not be imposed during the period so extended. 5. Power to Remove Safeguards Measures: The Government of Nepal may remove Safeguards measures imposed pursuant to Section 3 in any of the following circumstances:- (a) If it appears from the review conducted pursuant to Section 43 that it is not necessary to impose Safeguards on such goods, (b) If other alternative measures are adopted pursuant to Section 7, (c) In other circumstances as prescribed. 6. Power to Impose Interim Safeguards Measures: (1) If domestic industry suffers serious injury or there is a threat of serious injury due to an unexpected and abnormally large increase in the import of any goods and it appears necessary to take immediate action, the Government of Nepal may impose interim Safeguards measures on such goods. (2) While imposing interim Safeguards measures pursuant to sub-section (1), the Government of Nepal may impose any Safeguards measure pursuant to sub-section (3) of Section 3. (3) Notwithstanding anything contained in sub-section (1), prior to imposing interim Safeguards measures, any of the following conditions must exist in relation to any goods:- (a) It appears from the preliminary report pursuant to Section 25 that immediate Safeguards measures need to be imposed, (b) Evidence obtained immediately from the investigation provides sufficient basis that serious injury has been or is likely to be caused to domestic industry from the import of any goods, (4) The duration of interim Safeguards measures imposed under this section shall not exceed two hundred days. 7.

Power to Adopt Other Alternative Measures: (1) Notwithstanding anything contained elsewhere in this Chapter, the Government of Nepal may, by negotiating with the government of the country or autonomous customs territory producing or exporting any goods imported in unexpectedly and abnormally large quantity, adopt other alternative measures to protect the domestic industry from serious injury being or likely to be caused. (2) Provisions relating to the alternative measures referred to in sub-section (1) shall be as determined by the Government of Nepal. Chapter-3 Provisions Relating to Anti-Dumping Duty 8. Prohibition on Dumping of Goods: No importer shall dump any goods by importing them at an export price lower than the normal value of the producer's or exporter's country or autonomous customs territory, in a manner causing or likely to cause injury or serious injury to the domestic industry manufacturing like or identical goods. 9. Power to Impose Anti-Dumping Duty: (1) If it appears from the report submitted by the Investigation Officer pursuant to Section 26 that any person has dumped any goods contrary to Section 8, the Government of Nepal may impose Anti-Dumping duty in addition to the customs duty on such goods. (2) Notwithstanding anything

contained in sub-section (1), if the dumping margin of the dumped goods is less than two percent, or if the goods imported from any country or autonomous customs territory account for only up to three percent of the total import of like or identical goods, Anti-Dumping duty shall not be imposed on such goods. Provided that if the share of goods imported from more than one country or autonomous customs territory exceeds seven percent of the total import of goods of a like or identical nature, Anti-Dumping duty may also be imposed on goods imported from any country or autonomous customs territory having a share of less than three percent. (3) Prior to imposing Anti-Dumping duty pursuant to sub-section (1), sufficient basis and evidence that injury or serious injury has been or is likely to be caused to the domestic industry due to the dumping of such goods must be clearly evident. (4) The rate of Anti-Dumping duty shall be determined as prescribed by the Government of Nepal based on, inter alia, the investigation report pursuant to Section 26. (5) While imposing Anti-Dumping duty, the duty may be imposed at different rates according to the nature of the imported goods. 10.

Duration of Anti-Dumping Duty: (1) Anti-Dumping duty imposed pursuant to Section 9 shall remain in force for a maximum of five years from the date on which such duty started to be imposed. (2) Notwithstanding anything contained in sub-section (1), if the Investigation Officer recommends that the conditions warranting the imposition of Anti-Dumping duty pursuant to Section 9 continue to exist after that period, the Government of Nepal may extend the period for imposing Anti-Dumping duty for a maximum of five years. 11. **Power to Impose Interim Anti-Dumping Duty:** (1) The Government of Nepal may impose interim Anti-Dumping duty on any goods in the following circumstances:- (a) Notice regarding the initiation of investigation in relation to any goods has been made public pursuant to Section 20, (b) It appears from immediately available evidence that such goods have been dumped, (c) Sufficient basis appears that injury or serious injury has been or is likely to be caused to domestic industry from the import of such goods, (d) At least sixty days have passed since the Investigation Officer initiated the investigation process, (e) Interim Anti-Dumping duty has been recommended by the preliminary report pursuant to Section 25, (f) It appears necessary to immediately impose interim Anti-Dumping duty to protect the domestic industry from injury that has been or may be caused. (2) While imposing interim Anti-Dumping duty pursuant to sub-section (1), it shall not be imposed for more than six months if demanded by the domestic industry manufacturing like or identical goods, and for more than one hundred twenty days in other circumstances. 12. **Power to Remove Anti-Dumping Duty:** If it does not appear necessary to keep the Anti-Dumping duty imposed pursuant to Section 9 in force, based on the report submitted by the Investigation Officer pursuant to Section 26 or any other basis, the Government of Nepal may remove such duty at any time. Chapter-4 Provisions Relating to Countervailing Duty 13. **Prohibition on Import of Subsidized or Subsidized Goods:** No importer shall import any subsidized or directly or indirectly subsidized goods in a manner causing or likely to cause injury or serious injury to the domestic industry. 14.

Power to Impose Countervailing Duty: (1) If any person imports any subsidized or directly or indirectly subsidized goods contrary to Section 13, the Government of Nepal may impose Countervailing duty in addition to the customs duty on such goods, based on the report received pursuant to Section 26. (2) Notwithstanding anything contained in sub-section (1), Countervailing duty shall not be imposed on any goods in the following circumstances:- (a) In the case of goods imported from a developing country, where the subsidy or direct or indirect subsidy provided is less than two percent of the export price, and in the case of other countries or autonomous customs territories, less than one percent, (b) If the quantity of subsidized or directly or indirectly subsidized goods imported from any single developing country is found to be less than four percent of the total quantity of imports of like or identical nature in Nepal, (c) In goods received by the Government of Nepal in the form of in-kind or cash grants under bilateral or multilateral agreements. (3)

Notwithstanding anything contained in clause (b) of sub-section (2), if the total quantity of subsidized or directly or indirectly subsidized goods imported from developing countries, each having a share of less than four percent of total imports, amounts to nine percent or more of the total quantity of imports of like or identical nature goods in Nepal, Countervailing duty may also be imposed on subsidized goods imported from any developing country having a share of less than four percent. (4) Prior to imposing Countervailing duty pursuant to sub-section (1), it must be clearly evident that such imported goods are subsidized or directly or indirectly subsidized goods, and there is sufficient basis and evidence that injury or serious injury has been or is likely to be caused to domestic industry due to the import of such goods. (5) While imposing Countervailing duty pursuant to sub-section (1), it must be imposed not exceeding the subsidy margin. (6) While imposing Countervailing duty pursuant to sub-section (1), it may be imposed at different rates on imported goods of the same nature having a single type of subsidy or direct or indirect subsidy, and on imported goods of the same nature with different subsidy margins. 15.

Duration of Countervailing Duty: (1) Countervailing duty shall be imposed for a maximum period of up to five years. (2) Notwithstanding anything contained in sub-section (1), if the Investigation Officer recommends that the conditions warranting the imposition of Countervailing duty pursuant to Section 14 continue to exist after that period, the Government of Nepal may extend the period for imposing Countervailing duty for a maximum of five years. 16. Power to Impose Interim Countervailing Duty: (1) The Government of Nepal may impose interim Countervailing duty on any goods under investigation in the following circumstances:- (a) Notice regarding the initiation of investigation has been made public pursuant to Section 20, (b) It appears from immediately available evidence that such goods are subsidized or directly or indirectly subsidized goods, (c) It appears that injury or serious injury has been or is likely to be caused to domestic industry from the import of such goods and it is necessary to immediately impose interim Countervailing duty to protect from such injury, (d) At least sixty days have passed since the Investigation Officer initiated the investigation process, (e) Interim Countervailing duty has been recommended by the preliminary report received pursuant to Section 25. (2) While imposing interim Countervailing duty pursuant to sub-section (1), it must be imposed not exceeding the subsidy margin. (3) The interim Countervailing duty pursuant to sub-section (1) shall be imposed for a maximum of one hundred twenty days from the date of submission of the report pursuant to Section 25. Chapter-5 Provisions Relating to Investigation 17. Investigation Officer: (1) Unless otherwise specified by the Government of Nepal, the Department shall act as the Investigation Officer for the purpose of investigating complaints relating to Safeguards, Anti-Dumping or Countervailing under this Act. (2) For the purpose of sub-section (1), the Department may designate an officer of at least the level of a Class II gazetted officer to work as an Investigation Officer. 18.

Power to Submit Application: (1) If any person is found to have imported goods at an export price lower than the normal value of the producer's or exporter's country or autonomous customs territory, or subsidized or directly or indirectly subsidized goods, in a manner causing or likely to cause injury or serious injury to domestic industry manufacturing like or identical goods, the domestic industry manufacturing such goods, either itself or through its representative, may submit an application to the Department in the prescribed format for the imposition of Anti-Dumping duty under Section 9 or Countervailing duty under Section 14 on the goods so imported. (2) While submitting an application pursuant to sub-section (1), evidence to the extent available relating to the goods so imported or proposed to be imported and the injury, serious injury or threat of serious injury caused to domestic industry must also be attached. (3) While submitting an application pursuant to sub-section (1), the following procedure must be completed:- (a) The complaint must be submitted by the domestic industry or industries producing at least twenty-five percent of the like or identical goods, (b) The application must be supported by the domestic industry or industries producing at least fifty

percent of the like or identical goods, (c) There must be a basis for substantiating the contents of the application from immediately available evidence. 19. Inquiry into Application: (1) Upon receipt of an application pursuant to Section 18, the Investigation Officer shall conduct necessary inquiry as to whether the procedure under sub-section (3) of that section has been completed. (2) While conducting inquiry pursuant to sub-section (1), if there is no basis to substantiate the contents of the application from the evidence submitted with the application, the Investigation Officer shall not proceed with action on such application. (3) Notwithstanding anything contained elsewhere in this section, if information is received that any goods have been or are about to be dumped contrary to Section 8, or that any person is about to export goods obtained through subsidy or direct or indirect contrary to Section 13, or if there is reasonable cause to believe such matter, and if there is sufficient basis to believe that such import may cause or is likely to cause injury or serious injury to domestic industry, the Department may, by preparing a memo attaching necessary evidence in relation thereto, initiate the investigation process. (4) While conducting inquiry under this section or investigation under Section 23, concerned interested bodies shall make available necessary details and documents required to the Investigation Officer. 20.

Public Notice of Investigation: (1) If, during the inquiry of an application pursuant to Section 19, the Investigation Officer deems it necessary to initiate the investigation process pursuant to Section 23 on such application, a notice relating thereto shall be made public through a national level newspaper. (2) The notice to be made public pursuant to sub-section (1) must include the name, nature, quality of the goods under investigation, name of producing company, name of the country of the producer or exporter, evidence and documents submitted by the complainant, and other necessary details. (3) The Investigation Officer shall send a copy of the notice made public pursuant to sub-section (1), along with the related application and copies of other relevant evidence, to the producer or exporter of the goods under investigation through electronic means. 21. Right to Defend: (1) Within fifteen days from the date of publication of the notice pursuant to sub-section (1) of Section 20, an interested party may submit a written defense to the Investigation Officer concerning such application. (2) While submitting a defense pursuant to sub-section (1), an interested party must attach evidence and documents substantiating the claims made in such defense. (3) Any other party wishing to defend against the evidence and documents submitted by any party during the course of investigation may submit a defense within fifteen days of the submission of such evidence or documents. 22. Burden of Proof: While submitting a defense pursuant to Section 21, if the importer or exporter makes claims including that the goods under investigation were not imported into the country, no goods were dumped, or the imported goods were not subsidized goods, the burden of proof relating to such claims shall be on the interested party making the claim. 23.

Conduct of Investigation: (1) After the notice is made public pursuant to Section 20, the Investigation Officer shall initiate the investigation work focusing on the following matters in relation thereto: (a) The claims made in the complaint and the evidence and documents submitted by the concerned parties, (b) Whether or not the complainant is a domestic industry manufacturing like or identical goods, (c) Whether or not such goods are dumped goods, and if found to be so, the state of the dumping margin, (d) Whether or not such goods are subsidized or directly or indirectly subsidized goods, and if found to be so, the state or amount of subsidy margin or subsidy, (e) Whether or not injury or serious injury has been caused or there is a threat of injury or serious injury to domestic industry from the import of such goods, and if so, the nature and extent of the injury, (f) Other matters deemed necessary for the investigation. (2) While conducting the investigation, the Investigation Officer shall objectively evaluate and analyze all evidence and documents relating to the matters referred to in sub-section (1). 24. Power to Seek Consultation: (1) While conducting investigation pursuant to Section 23, the Investigation Officer may conduct necessary consultation or seek information

from the concerned body of the government of the exporter's country or autonomous customs territory regarding whether or not subsidies have been provided in relation to the production or export of such goods. (2) If consultation or information is sought pursuant to sub-section (1), and if any consultation or information is received from such body, the same may be taken as a basis; and if no consultation or information is received within the requested period, it may be deemed that consultation has been held on that matter and necessary action may be proceeded with. 25.

Preparation of Preliminary Report: The Investigation Officer shall, within sixty days of initiating the investigation pursuant to Section 23, prepare a preliminary report containing the following details and submit it to the Department:- (a) Name, quantity and price of the goods and the Harmonized Code of the goods, (b) Exporter of such goods and the country or autonomous customs territory of the exporter, (c) Whether or not the import of such goods has increased in an unexpectedly and abnormally large quantity, (d) If the import of such goods has increased in an unexpectedly and abnormally large quantity, the quantity thereof, (e) Whether or not such goods are subsidized or directly or indirectly subsidized goods, and if so, the quantity thereof, (f) Whether or not there is an indication that such goods have caused or are likely to cause injury or serious injury to the domestic industry manufacturing like or identical goods, (g) Whether or not it is necessary to impose interim Safeguards measures under Section 6, interim Anti-Dumping duty under Section 11, or interim Countervailing duty under Section 16 on such goods, and if necessary, details including the basis and reason for what duration and at what rate such duty appears reasonable to impose, (h) Except for clause (g), a definitive opinion along with the basis and reason as to whether Safeguards measures, Anti-Dumping duty, or Countervailing duty should be imposed under this Act, and at what rate and for how long it should be imposed, (i) Other matters as prescribed. 26.

Preparation of Final Report: (1) The Investigation Officer shall normally complete the investigation within one year from the date of initiation of the investigation and submit the final report thereof to the Department. (2) The Department shall, based on the report received pursuant to sub-section (1), submit the said report along with a recommendation to the Ministry for the purpose of imposing Safeguards measures or Anti-Dumping duty or Countervailing duty. (3) The final report prepared pursuant to sub-section (1) must include the following matters:- (a) Actual details of the injury or serious injury caused or likely to be caused to domestic industry due to the import of the goods under investigation, (b) Normal value and export price of the goods under investigation, (c) Dumping margin or subsidy or subsidy of the goods under investigation, (d) Concrete suggestion of the Investigation Officer regarding whether or not Anti-Dumping duty or Countervailing duty should be imposed on the goods under investigation, (e) If Anti-Dumping duty or Countervailing duty is to be imposed on such goods, the basis thereof and the rate of duty, (f) If it appears necessary to impose Anti-Dumping duty or Countervailing duty under clause (d) with retroactive effect, the basis, reason and effective date for such imposition, (g) If it appears necessary to extend the period after the imposition of Anti-Dumping duty or Countervailing duty, a recommendation along with the basis and reason for such extension, (h) Other matters deemed necessary by the Investigation Officer. (4) If the investigation work cannot be completed within one year pursuant to sub-section (1), the Investigation Officer may recommend to the Ministry to extend the investigation period, clearly stating the reason thereof. (5) While inquiring into the recommendation received pursuant to sub-section (4), if such recommendation appears reasonable, the Ministry may extend the investigation period for a maximum of up to six months. 27.

Determination of Serious Injury: For the purpose of imposing Safeguards measures under Section 3, while investigating whether serious injury has been or is likely to be caused to domestic industry manufacturing like or identical or directly competitive goods due to the import of the goods under investigation, the Investigation

Officer shall determine such injury based on the following grounds:- (a) The quantity and price of the increase in import of the goods under investigation, (b) Market share of the goods under investigation, (c) Impact on the production and productivity of the domestic industry manufacturing like or identical or directly competitive goods, (d) Impact on the sale and distribution of domestic goods that are like or identical or directly competitive, (e) Impact on the consumption of like or identical or directly competitive goods, (f) Nature, extent and consequence of loss incurred to domestic production that is like or identical or directly competitive, (g) Impact on employment provided by the domestic industry manufacturing like or identical or directly competitive goods. 28. Determination of Normal Value of Goods: For the purpose of imposing Anti-Dumping duty under Section 9, while determining the normal value of the goods under investigation, the Investigation Officer shall determine it based on the following:- (a) The sale price of such goods in the domestic market of the country or autonomous customs territory of the manufacturer, producer or exporter of the imported goods, (b) If such goods are not sold in the domestic market of the country or autonomous customs territory of the manufacturer, producer or exporter of the imported goods, or if the price of such goods cannot be determined due to any other reason, the export price of such goods when exported to a third country, (c) If the price cannot be determined based on clause (a) or (b), the price determined by adding the cost price of such goods and a reasonable profit, administrative, selling and general expenses, (d) If the price also cannot be determined based on clause (c), the price determined by the Investigation Officer on a reasonable basis. 29.

Determination of Export Price: For the purpose of imposing Anti-Dumping duty under Section 9, while determining the export price of the goods under investigation, it shall be determined based on the following:- (a) The invoice price submitted at the customs point of the exported goods (excluding freight, insurance and other expenses), or if such goods are also exported to another country, the price paid by the first buyer in that country to the exporter, (b) If the price cannot be determined based on clause (a), or even if determined, if the exporter and importer appear to be related or the price does not appear reliable for any other reason, the price at which the exported like or identical goods are first resold to an independent buyer, (c) If the price cannot be determined based on clause (a) or (b), the price determined by the Investigation Officer on a reasonable basis. 30. Determining Subsidy or Subsidy Provided: (1) For the purpose of imposing Countervailing duty under Section 14, if it is found that the goods under investigation have received, directly or indirectly, the following assistance from the government of the exporting country or autonomous customs territory, or from any institution or body fully or partially owned by such government having received financial or other assistance, such goods shall be deemed to be subsidized goods:- (a) Received direct or indirect financial incentives, concessions, exemptions or assistance in the production or export of goods, (b) Received grants, loans, equity investment or direct transfer of capital or potential direct transfer of capital in the production or export of goods, (c) The existing or potential liability of the producer of such goods has been assumed or such goods are regularly purchased, (d) Exemption or waiver of taxes or dues payable by the industry producing such goods, (e) Received other goods, facilities or services other than basic infrastructure facilities for the production of goods. (2) Notwithstanding anything contained in sub-section (1), goods provided the following subsidies by the government of the exporting country or autonomous customs territory shall not be deemed to be subsidized goods:- (a) Subsidies provided for research activities conducted by or on behalf of the manufacturer, producer or exporter of such goods, (b) Subsidies provided targeting remote or backward areas of the country, (c) Subsidies provided limited solely to improving existing arrangements concerning production or export technology or process in order to comply with new conditions or regulations relating to environmental protection. 31.

Confidentiality: Except for the purpose of Section 20 and the prevailing law, the Investigation Officer shall keep confidential the documents, information, data, details or commercial information received by or coming

to their knowledge in the course of investigation conducted under this Chapter. Provided that there shall be no bar in providing such documents, information, data or details to an authority authorized under the prevailing law in pursuance of a court order or in the course of law enforcement.

32. Power to Suspend or Terminate Investigation: Notwithstanding anything contained elsewhere in this Act, the Investigation Officer may, at any time, suspend or terminate the investigation action initiated under this Chapter in the following circumstances:- (a) If the exporter of the goods under investigation or the government of the exporter's country or autonomous customs territory agrees not to export at a price lower than the normal value or cost price or not to export subsidized goods, and the Ministry directs to suspend or terminate the investigation work concerning such goods, (b) If the exporter of the goods under investigation or the government of the exporter's country or autonomous customs territory agrees to revise the price so as to eliminate the effect of injury or serious injury caused or likely to be caused to the domestic industry manufacturing like or identical or directly competitive goods, and the Ministry directs to suspend or terminate the investigation work concerning such goods, (c) If an agreement is reached with the exporter's country or government to bear, directly or indirectly, the compensation for injury caused or likely to be caused to the domestic industry manufacturing like or identical or directly competitive goods from the import of the goods under investigation, (d) If there is a factual basis confirming that the maximum quantity of the goods under investigation is being used as raw material by the domestic industry manufacturing like or identical or directly competitive export-oriented goods, (e) In other circumstances as prescribed.

Chapter-6 Provisions Relating to Coordination Committee

33. Formation of Committee: (1) There shall be a Coordination Committee in the Ministry to coordinate among the concerned bodies for the implementation of this Act or the rules made under this Act. (2) The formation of the Committee pursuant to sub-section (1) shall be as follows:-